Q. It's not just Tamil Nadu, all the southern finance ministers have raised this question.
That's why I'm saying it is very political. Karnataka is raising it now because they have made unsustainable promises in the name of freebies and their own deputy chief minister goes about saying "I don't have any more money to give for development. That's it. Sorry, I've given it all for this." And then says, "Modi, you're not giving me money." Tell me which money Modi has not given you? These are completely politically distorted, opportunistic arguments. And if they have a point to make in terms of efficiencies that they have brought in, they should talk to the Finance Commission and not blame the Government of India.

Q. How would you address the delays in the IBC (Insolvency & Bankruptcy Code) process, which is still by far the most adequate mechanism to address insolvency issues?
IBC per se is not to be faulted, I think. It has been amended as per industry requirements so that it is more nimble. It is more ready to keep companies as going concerns rather than liquidating them. But there are certainly problems in filling NCLT (National Company Law Tribunal) and NCLAT (National Company Law Appellate Tribunal) vacancies, getting more true resolution professionals who come with certain skill sets and also have to be trained. Then, there are times when you will see a setback, when people game the system so that the old, discredited promoter himself wants to come in through the back door. We are, therefore, trying to build firewalls so that this doesn't happen. It is teething issues like these that have marred the progress of the IBC, but the IBC itself is not the problem. It's more the system that will have to be spruced up further so that it stands the test of time.

> **"Reforms can no longer be itemised, they have to be continuous and systematic. Reforms that can be taken to the panchayat and local body level"**

Q. Will Modi 3.0 see more consolidation of PSU banks and licences given to new private banks?
India needs a lot more banks, no doubt. A lot more big banks. At the same time, a lot of small banks as well, you need them on the ground, accessible in local areas. Small financing institutions are doing well and we need more of them as well. So, the banking system sector will have to be a lot more vibrant. We are happy that we have restored Indian banks to good health, but the entire sector requires a lot more vibrancy and we need a lot more banks.

Q. How will the weakening rupee, along with the rising crude prices, impact the economy?
It will be a challenge, no doubt. But the rupee and its fluctuation against the dollar is not the story of the rupee against other currencies. It has been steady against other currencies, the fluctuations have been minimal. If it is fluctuating against the dollar, it's because of the strength of the dollar. And the US economy has given indications that it will become only stronger. So, we will have to see how we can meet that challenge, whether it's crude prices, exchange rate fluctuations, particularly against the dollar. And, on that, the Reserve Bank is also keeping a continuous eye.

Q. In the white paper that you brought out on the UPA's handling of the economy, you had criticised it for allowing the rupee to fall 36 per cent between 2011 and 2013. But the rupee has been falling substantially under the NDA too.
Isn't there a difference between the dollar becoming weak during the fragile five economy and today's economy, which is stronger, faster-growing where your GDP is expanding and you're aiming to become the third-largest in the world?

Q. The Sensex breaching the 75,000 mark. What does that reflect?
A sense of confidence in the Indian economy. Confidence in a stable majority government, with stable policies. Confidence in taxation, which does not keep going up and down. No flip-flops. That's what the stock market is showing.

Q. The prime minister is pitching for India to become a developed economy by 2047. Conservative estimates say you have to grow at close to 12 per cent compound annual growth rate. Do you have a blueprint to ensure that the target is met?
There are several things that I've told you already. We have to be consistent in our policy. We have to be supportive of every section of society. We need to root out corruption, otherwise people will be pilfering others' wealth and not really allowing the economy to grow. Every section of India has potential for export. Agriculture has big potential for export. Manufacturing has to come back to its good, glorious days. Similarly, the support being given to the services sector will have to be widened. Our defence exports have shown that if our policy mix is correct, they can perform. We need to do all this and continue doing it. But on a lighter note, we need people, at least in the Opposition parties, who believe in India. They don't have to tout the idea of India if they don't believe in our own people. Please don't undermine India's own people's credible achievements. ■